

Palantir Technologies (PLTR) — Valuation Analysis

PLTR • EDGAR • USD • FCFF model • Reference price: USD 134.40

Key observations:

Consistency experiment between implicit and explicit expectations

Ticker	PLTR (NASDAQ)
Valuation date	May 6, 2026
Current price	\$134.40
Market cap	\$321.9bn
Shares outstanding	2,394,992,559
Damodaran sector	Software (System & Application)
Life-cycle stage	Hyper-growth
Model applied	Standard FCFF (Damodaran), R&D capitalized over 3 years, leases as debt
Analyst	Christopher Pérez Vega

1. Context and motivation of the experiment

Palantir presents one of the most interesting situations in the software market: an objectively excellent operating business (ROIC 92% TTM, Rule of 40 = 145% in Q1 2026, FCFF of \$2bn) trading at a multiple that does not admit conventional fundamental valuation. The price of \$134.40 implies a TTM EV/Revenue of ~60x and an adjusted EV/EBIT of ~122x — levels that only find precedent in very specific sector bubbles.

Rather than proposing a "central" valuation with optimistic and pessimistic cases, the exercise that follows poses a different question: **are the expectations articulated by management and analysts sufficient to justify the current price?** To answer it, three scenarios are constructed that do not compete with each other as probabilities, but reflect three distinct explicit or implicit visions of the company's future:

1. **Management Case** — What Palantir itself publicly promises. 2. **Market-Implied Case** — What the current price requires believing (reverse DCF). 3. **Analyst Case** — What the FactSet consensus price target implies.

All three scenarios are evaluated with the same DCF engine (FCFF), the same accounting treatment rules, and the same equity bridge. Only the operating and cost-of-capital assumptions change. This allows isolating **which hypothesis about the future is internally consistent** and which require heroic leaps.

2. Baseline financial diagnostic

2.1 Historical series (FY 2021–2025) and TTM Q1 2026

Metric	FY2021	FY2022	FY2023	FY2024	FY2025	TTM Q1 2026
Revenue (\$M)	1,542	1,906	2,225	2,866	4,475	5,224
YoY growth	—	+23.6%	+16.7%	+28.8%	+56.2%	+16.7% vs FY25
Reported EBIT (\$M)	-411	-161	120	310	1,414	1,992
Adjusted EBIT (\$M)	-24	69	276	564	1,668	2,576
Adjusted EBIT margin	-1.5%	3.6%	12.4%	19.7%	37.3%	49.3%
FCFF (\$M)	-16	-341	89	305	785	2,026
ROIC	neg	5.4%	19.8%	35.1%	68.3%	91.8%
Invested capital (\$M)	609	1,022	1,101	1,268	1,929	2,215

Key observations:

- The revenue acceleration in 2025 (+56%) marks an inflection point: PLTR exceeded \$4bn in revenue for the first time while simultaneously expanding adjusted EBIT margin from ~20% to ~37%. Q1 2026 confirmed the trend with +85% YoY.
- The TTM ROIC of 91.8% is mathematically correct but misleading: Palantir is genuinely *asset-light* and the invested capital base is very low (\$2.2bn vs \$5.2bn revenue). The relevant economic question is not whether it generates a good return, but **whether it can sustain growth without reinvesting more**.
- The TTM adjusted margin of 49.3% benefits from extreme operating leverage plus SBC treatment in non-GAAP. The equivalent reported margin is approximately 38%. This distinction is critical for valuation.

2.2 Balance sheet position and equity bridge (TTM)

Item	Value (\$M)	Treatment
Cash and equivalents	2,292	Operating + excess
Short-term investments	5,735	Non-operating
Total cash-like	8,026	
Operating cash (2% revenue)	104	Remains in EV
Excess cash	7,922	Added to equity value
Lease liabilities	229	Treated as debt
Funded financial debt	0	No funded financial debt
Minority interest	107	Deducted from equity value

PLTR has no traditional financial debt. The only debt-like obligation consists of operating leases (\$229M) — a small figure relative to market cap. This means that **the balance sheet adds no material risk** and that the entire analysis rests on the generation of future cash flows.

2.3 Q1 2026 key facts and FY2026 guidance

The Q1 2026 report (published May 5, 2026) updated the company's explicit expectations:

- Q1 2026 revenue: \$1.63bn (+85% YoY, the highest growth rate since the direct listing).
- US Commercial: +133% YoY to \$595M; US Government: +84% YoY to \$687M.
- **FY26 guidance raised to \$7.65bn–\$7.66bn** (+71% YoY from FY25), 10 points above the prior February guidance.
- **FY26 adjusted operating income**: \$4.44bn–\$4.45bn (adjusted margin ≈ 58%).
- **FY26 adjusted free cash flow**: \$4.2bn–\$4.4bn (margin 55–58%).
- **Q1 2026 Rule of 40**: 145%; FY26 guidance: 129%.

These figures are the direct inputs to the Management Case.

3. Methodological framework

3.1 Cost of capital

WACC is calculated using the standard formula. The header (base case / Management) uses the following parameters:

Parameter	Value	Source
Risk-free rate (US 10Y)	4.12%	Treasury yield
Equity risk premium	4.50%	Current Implied ERP for mature markets
Country risk premium	0.00%	74% US revenue, 10% UK, no material EM
Unlevered beta	1.20	Software (System & Application) Industry average (US)
Target debt ratio (D/(D+E))	5.0%	Minimum floor; PLTR has no funded debt
Cost of debt spread	1.50%	Synthetic BBB-equivalent
Marginal tax rate	20%	NOL utilization + optimal structure
Resulting base WACC	9.485%	Levered beta 1.2505

Each scenario applies an override on the components that reflect the specific view being tested, maintaining internal consistency within the narrative.

3.2 Accounting treatments applied

Following the issuer mapping and Damodaran methodology:

- **R&D capitalization** over 3 years (software technological life). The R&D adjustment increases invested capital from ~\$897M (book) to ~\$1.93bn in FY25.
- **Lease policy**: operating leases treated as debt in the bridge.
- **SBC is NOT added back to FCFF**. PLTR has material SBC and it is considered a real economic cost. This decision is the largest gap between the FCFF calculated here and the "adjusted FCF" reported by the company.
- **Customer deposits grouped with deferred revenue** (both are operating working capital, not debt).
- **Cross-holdings and strategic commercial investments**: not added to equity value to avoid the risk of round-tripping with operating revenue.

3.3 Valuation equation

For all three scenarios:

$$EV = \sum_{t=1}^{10} \frac{FCFF_t}{(1+WACC)^t} + \frac{TV}{(1+WACC)^{10}}$$

where $FCFF_t = NOPAT_t - Reinvestment_t$, with $Reinvestment_t = \Delta Revenue_t / \text{Sales-to-Capital}$, and Terminal Value calculated via Gordon Growth with $g_{\text{terminal}} = \text{risk-free rate (4.12\%)}$.

Equity value is derived as: $\text{Equity} = EV + \text{Excess Cash} - \text{Debt} - \text{Minority Interest}$.

4. The three scenarios

4.1 Management Case — The company's explicit expectations

Question it answers: If Karp and the team deliver exactly what they publicly promise, how much is Palantir worth?

Official anchors reproduced:

- FY26 revenue = \$7.65bn (guidance midpoint, equivalent to +46.4% from TTM Q1 2026 = \$5.224bn).
- Karp's "10x growth" vision = 39% CAGR through 2033, per public statements and investor presentations.

- Reported operating margin discounts SBC from the adjusted margin (which is 58% in FY26 guidance) and lands around 42% in early years.
- Terminal margin converges to 32% — the upper end of the "mature dominant enterprise software" range (MSFT, ORCL, ADBE, NOW operate between 30–35%).

Assumptions table:

Metric	Y1	Y2	Y3	Y4	Y5	Y6	Y7	Y8	Y9	Y10	TV
Rev. growth	46.4%	40%	36%	32%	27%	22%	17%	12%	8%	4.12%	4.12%
Op. margin	42%	41%	40%	39%	38%	36%	35%	34%	33%	32%	32%
Other parameters						Value					
Sales-to-capital						2.5x					
Tax rate						20%					
Unlevered beta						1.20					
WACC						9.49%					
Y10 revenue						\$44bn					
10y CAGR						23.7%					

Result: Equity Value \$116.7bn → \$48.68 / share

This implies a **63.8% downside** vs the current price of \$134.40. Terminal Value accounts for 69.7% of EV, within the acceptable range (<75%).

4.2 Market-Implied Case — What the current price requires believing

Question it answers: For \$134.40 to be fair value, what plausible-coherent combination of assumptions must materialize?

This scenario is a reverse DCF in the broad sense. Rather than adjusting only revenue growth (the usual simplification), growth, margin, capital efficiency, and cost of capital are all moved upward simultaneously until the combination pins the price. The condition is that the mix is **internally coherent** with a single narrative (PLTR as the structural winner of the AI era).

Assumptions table:

Metric	Y1	Y2	Y3	Y4	Y5	Y6	Y7	Y8	Y9	Y10	TV
Rev. growth	60%	65%	60%	50%	40%	35%	30%	20%	10%	4.12%	4.12%
Op. margin	50%	49%	48%	47%	46%	45%	44%	43%	42%	42%	38%
Other parameters						Value					
Sales-to-capital						3.5x					
Tax rate						20%					
Unlevered beta						1.05					
WACC						8.83%					

Result: Equity Value \$329.3bn → \$137.38 / share

This is a **+2.2% premium to current price** — essentially pinned. Terminal Value accounts for 71.4% of EV.

What the market must believe for this to hold:

- PLTR sustains ≥50% growth for 4 years. Only AWS and Azure achieved this at this scale, starting from a much smaller revenue base.
- Reported operating margin remains at 45–50% for 9 years and 38% in perpetuity. No comparable mature software company has sustained such monopoly-like margins for this long: MSFT-Office and ORCL-database are the closest benchmarks, operating in the 35–40% range.
- Top-decile capital efficiency (S2C 3.5x vs PLTR's historical 2.5x): the invested capital required to sustain extreme growth is assumed to be structurally lower.

- The cost of equity assumes a beta of 1.05, **below the software sector average (1.20)**. In practice, this implies the market considers PLTR structurally less risky than the average software company — a claim difficult to defend empirically given the stock's historical volatility (5-year rolling beta >1.5).

4.3 Analyst Case — What FactSet price targets imply

Question it answers: If consensus analyst price targets (\$200 median / \$186 average, EPS forecast \$2.60 vs current \$0.63) are interpreted as defensible DCF valuations, what assumptions do they require?

This scenario reveals something different from the previous two. After iterating over multiple combinations, **it is not possible to reach \$186 with assumptions that respect any historical precedent in the software industry**. The scenario documented here is the one that mathematically pins the target, but demands extreme conditions.

Assumptions table:

Metric	Y1	Y2	Y3	Y4	Y5	Y6	Y7	Y8	Y9	Y10	TV
Rev. growth	60%	65%	70%	60%	40%	35%	30%	25%	15%	4.12%	4.12%
Op. margin	50%	49%	48%	47%	46%	45%	44%	43%	43%	43%	43%
Other parameters						Value					
Sales-to-capital						3.7x					
Tax rate						18%					
Unlevered beta						1.00					
WACC						8.61%					

Result: Equity Value \$447.4bn → \$186.64 / share

Matches the FactSet target. Terminal Value accounts for 74.8% of EV — at the limit of the acceptable range.

What analyst targets imply through fundamentals:

- Y10 revenue ≈ \$138bn. This is 26x **TTM revenue** and approaches Microsoft's scale around 2018. A sustained 38% CAGR over a decade has no precedent in the software industry at this revenue base.
- Reported operating margin above 50% for the first 4 years, and 43% in perpetuity. Only Microsoft, at the zenith of its enterprise software operations, has approached these figures, and only during 3–5 year windows.
- Unlevered beta of 1.00 = broad market. This implicitly rejects PLTR's historical risk profile (realized volatility > S&P 500).
- Capital efficiency S2C 3.7x — global top decile for the software sector.

The methodological conclusion is that **sell-side price targets are likely anchored to forward multiples (EV/Sales NTM, P/E NTM+2)** and not to discounted cash flows. This is consistent with standard industry practice for hyper-growth companies — but inconsistent with an intrinsic valuation analysis.

5. Results comparison

Scenario	VPS	vs \$134.40	Y10 Revenue	10y CAGR	Terminal margin	WACC	%TV
Management	\$48.68	−63.8%	\$44bn	23.7%	32%	9.49%	69.7%
Market-Implied	\$137.38	+2.2%	\$112bn	35.8%	38%	8.83%	71.4%
Analyst	\$186.64	+38.9%	\$138bn	38.7%	43%	8.61%	74.8%

6. Critical findings of the experiment

Finding 1: Meeting guidance is not enough

If Palantir meets **exactly** the FY26 revenue guidance of \$7.65bn and sustains Karp's 39% CAGR vision through 2033, the resulting VPS is \$48.68 — 63.8% below the current price. The interpretation is that **the market is not paying for the plan the company publicly articulates**, but for something materially more optimistic.

Finding 2: The current price requires outperforming management

For \$134 to be fair value, a Year-1 growth of 60% is required, **higher than the guidance from management itself** (+46.4% from TTM, equivalent to the +71% YoY the company publicizes). Additionally, it demands monopoly-like margins sustained in perpetuity and a cost of equity below the software sector. This implies that the marginal investor is discounting a performance that Palantir itself has not yet dared to articulate publicly.

Finding 3: Analyst targets do not hold up via DCF

The FactSet consensus target (\$186) requires assumptions with no historical precedent in the software industry at this revenue scale: 34% CAGR over 10 years, reported operating margins $\geq 50\%$ for 4 years, beta = market. The most parsimonious explanation is that these targets are the product of relative valuation (forward multiples) and not DCF. This is consistent with standard sell-side practice, but limits their utility as an intrinsic value anchor.

Finding 4: The experiment's structure points to late-stage hyper-growth

The progression Management (\$49) → Market-Implied (\$137) → Analyst (\$187) describes a classic pattern of late-stage hyper-growth cycles:

1. The company guides conservatively toward an already excellent future. 2. The market pays for a future better than that guidance. 3. Analysts extrapolate to a future better than the market's.

Each layer requires progressively more extreme assumptions to maintain internal coherence. When one layer fails (a quarter that disappoints even the optimistic guidance, a sector multiple compression, a momentum-to-value rotation), the other two tend to adjust rapidly toward the fundamental base.

7. Conclusions and investment considerations

The exercise does not determine whether PLTR is a "buy" or "sell" — that depends on the investor's time horizon, risk profile, and conviction about which of the three scenarios will materialize. What it does establish clearly is the **structure of asymmetric risk**:

- The upside requires outperforming management. The downside simply requires management to deliver.
- The distance between what the company believes publicly and what the market believes is very wide (\$89/share $\approx$ 65% of the price).
- Analysts do not provide an independent anchor; their targets appear to reflect relative dynamics, not intrinsic analysis.

Qualitative risks not included in the cash flows (captured implicitly via the cost of capital): government customer concentration, US defense budget cycle, AI regulatory risk, hyperscaler competition in the enterprise AI platform layer, and ongoing SBC dilution.

The balance sheet is exceptionally solid: \$7.9bn of excess cash, no financial debt, accelerating FCFF generation. This reduces the risk of ruin but does not resolve the central valuation question.

The question the investor must answer before making any decision is very concrete: which of the three scenarios best reflects their reading of Palantir's future? Each is internally justified within its narrative. The current price is only coherent with two of the three.

Appendix A — WACC components by scenario

	Management	Market-Implied	Analyst
Risk-free rate	4.12%	4.12%	4.12%
Unlevered beta	1.20	1.05	1.00
Levered beta (D/E 0.053)	1.251	1.094	1.042
Equity risk premium	4.50%	4.50%	4.50%
Cost of equity	9.75%	9.04%	8.81%
After-tax cost of debt	4.50%	4.61%	4.61%
Marginal tax rate	20%	20%	18%
Equity weight	95%	95%	95%
Resulting WACC	9.49%	8.83%	8.61%

Appendix B — Equity bridge (common to all scenarios)

Item	\$M
Enterprise Value	(varies by scenario)
(+) Excess cash	7,922
(-) Debt (operating leases)	(229)
(-) Minority interest	(107)
Equity value	(varies by scenario)
÷ Shares outstanding	2,394,992,559
Value per share	(varies by scenario)

Appendix C — Primary sources

- **SEC filings:** 10-K FY2025 (accession 0001321655-26-000011), 10-Q Q1 2026 (accession 0001321655-26-000028).
- **Press releases:** Palantir Q4 FY2025 earnings release (February 2026) and Q1 FY2026 earnings release (May 5, 2026).
- **Earnings calls:** Palantir Q1 FY2026 transcript (May 5, 2026).
- **Market data:** FactSet consensus median price target \$186, EPS estimate \$2.60 (close May 5, 2026).
- **Damodaran datasets:** Equity Risk Premium and sector betas.
- **Internal issuer mapping:** Revision May 6, 2026

Disclaimer: This document is a fundamental analysis built by its author for professional purposes. It does not constitute personalized investment advice. The assumptions behind each scenario are explicit and may be questioned by the reader; results are sensitive to inputs and should be interpreted as an analytical exercise, not as a unique valuation.